Reforming Redistribution—Non-Cash Benefits

The economic cost of wheat purchased, stored and distributed in FCI for 2019–20 was Rs 26.8 per kg. The MSP for wheat for the year was Rs 18.40 per kg. The average price in most mandis was around Rs 19–20 per kg. Actual prices received by farmers (net of transportation) would be around Rs 15–16.

Wheat produced in villages comes back to villages through public distribution shops after doing the rounds of the mandi and FCI storage. Many Indians who don't prefer wheat as a cereal crop end up getting wheat in ration.

Poor and non-poor households get wheat at a hugely subsidized price of Rs 2. For the 35 kg of wheat a household gets, at the economic cost of FCI, they receive a benefit of about Rs 875 per month. At actual market prices, it is around Rs 450 per month or about Rs 5400 a year.

The country ends up footing a food subsidy bill of about Rs 2 lakh crore a year or about Rs 10,000 per household (there are about 20 crore households receiving subsidized grain). About 50 per cent is wasted. Only about 50 per cent of this subsidy reaches poor households.

Transformation of the system by providing a food coupon of Rs 5000 per household, restricted to destitute and poor households (estimated to be about 10 crore; 40 per cent of households), will bring down the food subsidy bill to Rs 50,000 crore. The government can save Rs 1.5 lakh crore and poor households would get their choice of food.

There are several programmes where the Centre delivers services to poor households at government cost. School education has a budget of Rs 60,000 crore (state governments spend another Rs 3 lakh crore a year). Higher education has another Rs 40,000 crore of budgeted expenditure. The skills department has a budget of Rs 3000 crore. There are several other demands with a budget to meet the expenses of indirect delivery of a service to people.